

Superior Court of the State of California, County of Orange

TENTATIVE RULINGS FOR DEPARTMENT C16

HON. JUDGE CARMEN R. LUEGE

Date: August 21st, 2026

Posted: August 20th, 4:30 PM

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative Rulings: The Court will endeavor to post tentative rulings on the Court's website by 4:30 p.m. on Thursday. Do NOT call the Department for a tentative ruling if none is posted. **The Court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been posted.**

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5216. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

Non-Appeareances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

Remote Appearances: Department C16 permits non-evidentiary proceedings, including law and motion, to be conducted remotely. *If you are appearing remotely:* (1) all counsel and self-represented parties appearing for such hearings **must**, prior to 10:00 a.m. on Friday, check-in online via the Court's civil video appearance website at [Civil Appearance Procedure and Information | Superior Court of California | County of Orange \(occourts.org\)](https://www.occourts.org); (2) participants will then be prompted to join the courtroom's Zoom hearing session; and (3) the calendar will be displayed and participants will then be instructed to rename their Zoom name to include their hearing's calendar number. Check-in instructions and an instructional video are available on the court's website. Attorneys **shall** comply with Local Rule 375(c) which governs "Decorum for In-Person and Remote Court Appearances." (<https://www.occourts.org/system/files/hr/div3.pdf>.)

#	Case Name	Tentative
51	Skinner vs. Nguyen 24-01451051	Motion to Set Aside Dismissal Parties to appear.
53	ACE American Insurance Company vs. Sun Country Yachts 25-01481107	Motion to Consolidate Defendant Antigravity Batteries LLC moves to consolidate the two related matters, <i>Ace American Insurance Company v. Sun County Yachts, et al.</i> , Case No. 30-2025-01481107-CU-PL-CJC, and <i>Catalina Riviera LLC v. Sun Country Marine Group, et al.</i> , Case No. 30-2025-01499779-CU-BC-CJC. For the following reasons, Defendant’s motion is GRANTED. Code of Civil Procedure § 1048(a) provides: “When actions involving a common question of law or fact are pending before the court, it may order a joint hearing or trial of any or all of the matters in issue in the actions, it may order all the actions consolidated, and it may make such orders concerning proceedings therein as may tend to avoid unnecessary costs or delay.” All that the moving party need show is that the issues in each case are basically the same, and that “economy and convenience” would be served by a joint trial. (See <i>Jud Whitehead Heater Co. v. Obler</i> (1952) 111 Cal.App.2d 861, 867.) The granting or denial of the motion to consolidate rests in the sound discretion of the trial court, and will not be reversed except upon a clear showing of abuse of discretion. (<i>Fellner v. Steinbaum</i> (1955) 132 Cal.App.2d 509, 511.) A noticed motion to consolidate must list all named parties in each case, the names of those who have appeared, and the names of their respective attorneys of record; contain the captions of all the cases sought to be consolidated, with the lowest numbered case listed first; and be filed in each case sought to be consolidated, served on all attorneys of record and all nonrepresented parties, and include a proof of service. (Cal. Rules of Court, rule 3.350(a); see <i>In re Sutter Health Uninsured Pricing Cases</i> (2009) 171 Cal.App.4th 495, 514.)

		Defendant did not strictly comply with rule 3.350 because the notice of motion was not filed in the related <i>Catalina Riviera</i> action. Although this constitutes a procedural defect, no opposition has been filed and no resulting prejudice has been identified. The Court therefore addresses the merits notwithstanding the procedural defect. The two actions arise from the same November 10, 2023 fire aboard Catalina Riviera, LLC's yacht and involve substantially the same operative facts concerning the yacht's battery and electrical systems. In <i>ACE American Insurance Company v. Sun Country Yachts, et al.</i>, ACE, as Catalina Riviera's subrogating insurer, asserts negligence against Sun Country and strict products liability against Antigravity. In <i>Catalina Riviera LLC v. Sun Country Marine Group, et al.</i>, Catalina Riviera asserts the same claims, along with an additional breach of contract claim against Sun Country arising from the battery conversion agreement. Although the plaintiffs are different and Catalina Riviera asserts an additional contract claim, both actions involve the same incident, defendants, causation issues, witnesses, and expert evidence. Consolidation would therefore avoid duplicative discovery and testimony, conserve judicial resources, and reduce the risk of inconsistent rulings. The motion is unopposed, and the record does not demonstrate undue confusion, delay, or prejudice. The actions are consolidated for all purposes, with <i>ACE American Insurance Company v. Sun Country Yachts, et al.</i>, Case No. 30-2025-01481107-CU-PL-CJC, designated as the lead case. Moving party to give notice.
56	Beck vs. Cournoyer 25-01501489	Demurrer to Amended Complaint Defendant Erin O'Hara Cournoyer's Demurrer to the first cause of action for usury contained within the First Amended Complaint is OVERRULED. As the California Supreme Court explained in <i>Ghirardo v. Antonioli</i> (1994) 8 Cal.4th 791, 798, "The California Constitution, article XV, section 1, states 'No person, association, copartnership or corporation shall by charging any fee, bonus, commission, discount or other compensation receive from a borrower more than the interest authorized by this section upon any loan or forbearance of any money, goods or things in action.' The essential elements of usury are: (1) The transaction must be a loan or forbearance; (2) the interest to be paid must exceed the statutory maximum; (3) the loan and interest must be absolutely repayable by the borrower; and (4) the lender must have a willful intent to enter into a usurious transaction."

		“The element of intent is narrow. ‘[T]he intent sufficient to support the judgment [of usury] does not require a conscious attempt, with knowledge of the law, to evade it. The conscious and voluntary taking of more than the legal rate of interest constitutes usury and the only intent necessary on the part of the lender is to take the amount of interest which he receives; if that amount is more than the law allows, the offense is complete.’ ” (<i>Korchemny v. Piterman</i> (2021) 68 Cal.App.5th 1032, 1043, quoting Ghirardo, supra, 8 Cal.4th at p. 798.) “ ‘In determining whether usurious interest has been charged or collected under a particular contract it is not permissible to consider only a portion of the term. The test is: Did the lender under his contract charge or receive a profit on his investment in excess of the maximum rate for the full period of the loan? If he has, there is usury; otherwise not.’ ” (<i>Sharp v. Mortgage Sec. Corp. of America</i> (1932) 215 Cal. 287, 290 [citation omitted].) Additionally, “the contract must in its inception require a payment of usury” (Id.) The first cause of action for usury alleges Defendant lent Plaintiff \$150,000 in May 2015. (FAC ¶ 15.) Plaintiff repaid the loan in full, discharging the obligation in June 2022, and paying \$91,000 in interest as rental income (a rate of 8.6 percent per annum). (Ibid.) The FAC alleges Defendant’s demand of an additional \$165,000 from Plaintiff is a conscious intent to charge an interest rate of 24.4 percent per year. (Id. at ¶¶ 13, 16.) The FAC further alleges that while Defendant did not express to Plaintiff her intent that the loan also entitled her to a permanent joint interest in the Property at the time the loan was made, she subsequently represented that this had been her intent from the inception of the loan. (Id. at ¶ 8.) Furthermore, the FAC alleges that Defendant demanded \$256,500 in interest on her seven-year \$150,000 loan, or 24.4 percent per annum. (Id. at ¶ 13.) The above allegations are sufficient to survive demurrer and thus the instant Demurrer is OVERRULED. Defendant to file an Answer to the FAC within 20 days’ notice of this ruling. Plaintiff to give notice.
58	Mejia vs. Hernandez 25-01529994	Motion for Leave to File Cross Complaint Defendant Victor Hugo Hernandez’s unopposed motion for leave to file a cross-complaint is GRANTED. (Code of Civ. Proc. § 26.50.) Defendant to file the Cross-Complaint within 10 days of this ruling. Moving Party is to give notice.

59	CAM XI TRUST vs. VIRGINIA VON SCHAEFER, TRUSTEE OF VIRGINIA VON SCHAEFER FAMILY TRUST 21-01231930	Motion for Attorney Fees Plaintiff CAM XI Trust’s Motion for Attorney’s Fee and Costs is DENIED. Preliminarily, Plaintiff’s request for judicial notice of the following documents is GRANTED as to their existence, filing, and/or recordation, but not as to the truth of any disputed factual matters asserted therein. (Evid. Code, § 452, subds. (c), (d), (h); § 453.) 1. Deed of Trust dated May 17, 2016, and recorded May 19, 2016, as Document No. 2016000223443 (Exhibit 1) 2. Verified Complaint filed November 16, 2021 [ROA #2] (Exhibit 8) Plaintiff’s remaining requests for judicial notice (Nos. 2-7 and 9-60), as well as Defendant’s request for judicial notice, are DENIED as unnecessary to resolution of this motion. <i>Motion for Attorney’s Fees</i> Plaintiff moves for an award of \$78,861.70 in attorney fees, contending that it is the prevailing party and that the parties’ contracts authorize recovery of such fees and costs. “[E]ach party to a lawsuit is responsible for his or her own attorney’s fees in the absence of an agreement between the parties for fees or a statute specifically authorizing fees. [Citations.]” (<i>Pederson v. Kennedy</i> (1982) 128 Cal.App.3d 976, 979.) Attorney fees are recoverable as costs when authorized by contract, statute, or law. (Code Civ. Proc., § 1033.5, subd. (a)(10).) Civil Code section 1717, subdivision (a) provides, “[i]n any action on a contract, where the contract specifically provides that attorney’s fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney’s fees in addition to other costs.” (Civ. Code, § 1717, subd. (a).) Civil Code section 1717 “applies only to ‘action[s] on a contract.’ ” (<i>Hsu v. Abbata</i> (1995) 9 Cal.4th 804; <i>In re Tobacco Cases I</i> (2011) 193 Cal.App.4th 1591; <i>Khan v. Shim</i> (2016) 7 Cal.App.5th 49, 56.) In determining whether an action is “on a contract,” the focus is on the basis of the cause of action, not the nature of the remedy. (<i>Yoon v. CAM IX Trust</i> (2021) 60 Cal.App.5th 388, 392-393; <i>Kachlon v. Markowitz</i> (2008) 168 Cal.App.4th 316, 347.) Thus, declaratory, injunctive, and quiet title claims may constitute actions “on a contract” when based on rights arising under a note or deed of trust. (<i>Kachlon, supra</i>, at pp. 347-348.)
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		Here, Plaintiff has not established a contractual basis for an award of attorney’s fees. Plaintiff’s Verified Complaint asserted causes of action for (1) quiet title, (2) reformation of deed of trust, and (3) declaratory relief. (Plaintiff’s RJN, Ex. 8 [Complaint].) The action arose from a \$1,050,000 loan (the “Loan”) evidenced by a May 17, 2016 Note (the “Note”) and secured by a Deed of Trust recorded on May 19, 2016, in the Official Records of Orange County as Document No. 2016000223443 (the “2016 DOT”), which encumbered the subject property. (Complaint, ¶¶ 23, 30.) Plaintiff sought to quiet title as of May 19, 2016 (id., ¶¶ 33-36); reform the 2016 DOT to include the correct legal description of the property (id., ¶¶ 37-40); and obtain declaratory relief concerning the validity, priority, and reformation of the 2016 DOT (id., ¶¶ 41-44). Plaintiff submits evidence that Defendant defaulted on the Loan, received Notices of Default and Intent to Accelerate dated January 23, 2017, September 13, 2017, and November 29, 2017, and failed to cure the defaults. (Sokolowsky Decl., ¶ 11, Ex. 3.) The Loan matured on June 1, 2017. (Sokolowsky Decl., ¶ 4, Ex. 1.) Plaintiff brought this action because the 2016 DOT contained an incorrect legal description. (Plaintiff’s RJN, Ex. 8 [Complaint], ¶¶ 37-44.) Plaintiff relies on Section 6(E) of the Note, read together with Section 6(C), and Section 22 of the 2016 DOT as the contractual basis for recovery of attorney’s fees. Section 6(C) of the Note provides: (C) Notice of Default If I am in default, the Note Holder may send me a written notice telling me that if I do not pay the overdue amount by a certain date, the Note Holder may require me to pay immediately the full amount of Principal which has not been paid and all the interest that I owe on that amount. That date must be at least 30 days after the date on which the notice is mailed to me or delivered by other means. (Sokolowsky Decl., ¶ 4, Ex. 1 [Note], § 6(C).) Section 6(E) of the Note provides: (E) Payment of Note Holder's Costs and Expenses If the Note Holder has required me to pay immediately in full as described above, the Note Holder will have the right to be paid back by me for all of its costs and expenses in enforcing this Note to the extent
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		not prohibited by applicable law. Those expenses include, for example, reasonable attorneys' fees. (Sokolowsky Decl., ¶ 4, Ex. 1 [Note], § 6(E).) Section 6(E) expressly conditions the Note Holder's right to recover enforcement expenses on the Note Holder having required the borrower to pay immediately in full. This provision contains two critical limitations. First, it is expressly conditioned on the Note Holder having required immediate payment in full — on a completed acceleration. The phrase refers back to Section 6(C), which describes the process by which the Note Holder may send a written notice requiring immediate payment. The fee right does not arise unless and until that demand has been made. Second, the provision gives the Note Holder the right to be "paid back" — language that describes a reimbursement right, not a court-ordered award to the prevailing party. Plaintiff has not established that this condition occurred. Plaintiff does not contend that the Note was, in fact, accelerated. Rather, Plaintiff states that the servicer sent communications concerning an "intent to accelerate." The notices themselves are entitled "Notice of Default and Intent to Accelerate." They advised Defendant of the amount necessary to cure the existing default and stated that, if the default was not cured by a specified future date, BSI Financial Services "will accelerate the maturity date of the Note and declare all outstanding amounts under the Note immediately due." (Sokolowsky Decl., ¶ 11, Ex. 3.) The January 23, 2017 notice, for example, required Defendant to pay \$10,481.98 by February 27, 2017 to cure the default and stated that, if the default was not cured by that date, BSI "will accelerate" the Note and declare the outstanding amounts immediately due. (Sokolowsky Decl., ¶ 11, Ex. 3.) The notice did not state that the Note had already been accelerated or that Defendant was then required to pay the entire outstanding indebtedness. The subsequent notices continued to characterize acceleration as a future event. The September 13, 2017 notice required payment of \$21,838.96 by October 18, 2017 to cure the default and again stated that BSI "will accelerate" the Note if the default was not cured. (Sokolowsky Decl., ¶ 11, Ex. 3.) The November 29, 2017 notice likewise required payment of \$25,368.61 by January 3, 2018 and again stated that BSI "will accelerate" the Note if Defendant failed to cure. (Sokolowsky Decl., ¶ 11, Ex. 3.) Thus, the evidence reflects repeated notices of an intent to accelerate, but does not establish that the Note Holder actually exercised its option to require immediate payment in full.
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		The fact that the Loan matured on June 1, 2017 does not alter this conclusion. (Sokolowsky Decl., ¶ 4, Ex. 1.) Section 6(E) specifically conditions recovery on the Note Holder having “required” immediate payment in full “as described above,” referring to the default-and-acceleration procedure set forth in Section 6(C). Plaintiff does not argue that contractual maturity itself satisfied that condition, and the subsequent September and November 2017 notices continued to describe acceleration as a future event. Accordingly, Plaintiff has not established that the express condition triggering Section 6(E) was satisfied. It is therefore unnecessary to determine whether, had Section 6(E) been triggered, the reformation and declaratory-relief claims constituted expenses incurred “in enforcing this Note.” Section 22 of the 2016 DOT provides: NON-UNIFORM COVENANTS. Borrower and Lender further covenant and agree as follows: 22. Acceleration; Remedies. Lender shall give notice to Borrower prior to acceleration following Borrower’s breach of any covenant or agreement in this Security Instrument..... The notice shall specify: (a) the default; (b) the action required to cure the default; (c) a date, not less than 30 days from the date the notice is given to Borrower, by which the default must be cured; and (d) that failure to cure the default on or before the date specified in the notice may result in acceleration of the sum secured by this Security Instrument and sale of the Property. The notice shall further inform Borrower of the right to reinstate after acceleration and the right to bring a court action to assert the non-existence of a default or any other defense of Borrower to acceleration and sale. If the default is not cured on or before the date specified in the notice, Lender at its option may require immediate payment in full of all sums secured by this Security Instrument without further demand and may invoke the power of sale and any other remedies permitted by Applicable Law. Lender shall be entitled to collect all expenses incurred in pursuing the remedies provided in this Section 22, including, but not limited to, reasonable attorneys’ fees and costs of title evidence. (Plaintiff’s RJN, Ex. 1 [2016 DOT].) Section 22 provides that the lender shall be entitled to collect all expenses incurred in pursuing the remedies provided in Section 22, including, but not limited to, reasonable attorneys' fees and costs of title evidence. The remedies provided in Section 22 are the remedies of acceleration and foreclosure — the lender's option to require immediate payment in full and to invoke the power of sale. The fee entitlement is expressly
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		limited to expenses incurred in pursuing those specific remedies. No other remedies — including a reformation action or a declaratory relief action — are remedies provided in Section 22. Here, Plaintiff did not seek to accelerate the debt, obtain a money judgment on the Note, or foreclose under the power of sale. Rather, Plaintiff sought to reform the 2016 DOT to correct its legal description and to obtain declaratory relief concerning its validity and priority. (Plaintiff's RJN, Ex. 8 [Complaint], ¶¶ 37-44.) Although that relief may facilitate a later exercise of Plaintiff's remedies against the collateral, Plaintiff has not shown that this reformation and declaratory-relief action itself fall within the scope of the remedies provided by Section 22. Section 22 also authorizes "any other remedies permitted by Applicable Law," but that language must be read in context with Section 22 as a whole and its limitation of recovery for expenses incurred in "pursuing the remedies provided in this Section 22." Thus, Plaintiff has not shown that this case, seeking to reform the 2016 DOT and obtain declaratory relief, was a remedy pursued under Section 22 merely because the resulting relief may facilitate a subsequent foreclosure. In reaching this decision, the Court considered <i>Yoon v. Cam IX Tr.</i> (2021) 60 Cal. App. 5th 388, upon which Plaintiff relies in response to the opposition brief. <i>Yoon</i> analyzed the same Note Section 6(E) and Deed of Trust Section 22 language and awarded attorney fees to the prevailing lender. However, <i>Yoon</i> is distinguishable on critical facts that make it inapplicable here. In <i>Yoon</i>, the lender had initiated an actual foreclosure proceeding following the borrower's default, and the borrower brought negligence and fraud claims seeking to avoid enforcement of the lien through that foreclosure. The trial court found that "the borrower's causes of action directly relate to enforcement of the note through foreclosure or required defendants to defend against a challenge to the underlying validity of the obligation, so that defendants were entitled to fees under Civil Code section 1717." (<i>Yoon v. Cam IX Tr.</i>, supra, at p. 391.) The Court of Appeal affirmed, holding that "the gravamen of the lawsuit was an effort to avoid the enforcement of the note and deed of trust, and that the borrower's suit arose from defendants' alleged conduct in the course of enforcing the terms of those documents." (<i>Id.</i> at 392.) The situation in the matter before this Court is the inverse of <i>Yoon</i> in every material respect. In <i>Yoon</i>, there was an actual foreclosure proceeding; here, there was none. In <i>Yoon</i>, the borrower was trying to avoid enforcement of the note challenging the foreclosure proceeding; here, plaintiff is the beneficiary of the deed of trust seeking to reform the deed of trust to correct a legal description. In <i>Yoon</i>, the borrower's claims directly relate to enforcement of the note through foreclosure
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		proceedings; here, the action was for reformation and declaratory relief, and the judgment obtained is not a money judgment on the Note and there has been no foreclosure. Thus, in <i>Yoon</i>, the attorney fee provisions were triggered because the lender was actively pursuing the Section 22 remedies; here, the Section 22 remedies have not been invoked. For these reasons, Plaintiff has not established that the contractual fee provisions on which it relies authorize recovery of the attorney fees. Accordingly, the motion is DENIED. <i>Plaintiff's Request for Costs</i> “ ‘The right to recover any of the costs of a civil action “is determined entirely by statute.” ’ [Citation.]” (<i>Charton v. Harkey</i> (2016) 247 Cal.App.4th 730, 737.) California Rules of Court, rule 3.1700(a)(1) requires a prevailing party claiming costs to serve and file a memorandum of costs. An opposing party may challenge the claimed costs by filing a motion to strike or tax costs under rule 3.1700(b). Plaintiff separately filed a Memorandum of Costs on April 3, 2026. (ROA 272; Plaintiff’s RJN, Ex. 60.) Accordingly, Plaintiff’s recoverable statutory costs should be determined through the procedures applicable to the Memorandum of Costs and not through this motion. Defendant to give notice.
60	Bui vs. Larios 23-01369491	Motion to Set Aside Dismissal Parties to appear.
61	Liang vs. UCI Police Department 26-01551207	Motion for Leave to File Amended Complaint Parties to appear.

62	Snell vs. Costco Wholesale Corporation 23-01354070	1. Motion for Summary Judgment and/or Adjudication 2. Motion Compelling Defendant To Pay All Discovery Referee Fees Continued to 09/11/2026 at 10:00 AM. Please see Minute Order dated 08/20/2026
64	Huzyak vs. 1973 Preuss, LLC 22-01242620	Motion to Expunge Lis Pendens Intervenor Guthrie Preuss Management's motion to expunge lis pendens is MOOT. The Notice of Pendency of Action (lis pendens) was withdrawn by Plaintiff on 8/17/26. (See ROA 374.)
65	National Funding, Inc. vs. Eplex Entertainment, Inc. 25-01472982	Claim of Exemption - Wage Garnishment Parties to appear.